TAMPA BAY CEMENT MARKET

Strategic Market Entry Opportunity for SESCO Cement Corp

Executive Summary | January 2026 | Confidential

TAMPA BAY MARKET OPPORTUNITY

6.8M MT

Annual Cement Imports | 75% of Florida Total | Gateway to $14M Market

$24M	3-5%	196K MT
Year 3 Revenue Target	Tampa Bay Market Share	Year 3 Volume Target

Market Fundamentals: Why Tampa Bay?

Structural Supply Gap: Florida consumes 14M MT annually but produces only 7.5M MT domestically. The 6.5M MT gap (46% import dependency vs. 22% US average) must be filled through imports—a durable, growing opportunity.

Tampa Bay = Import Gateway: 75% of Florida's cement imports flow through Tampa Bay ports (6.8M MT annually). Superior infrastructure, I-75/I-4 corridor access, and central positioning make Tampa the state's cement distribution hub.

Market Growth Drivers: Florida population growing 1.5-2.0% annually (vs 0.7% US average) • Hurricane building codes drive cement-intensive construction • No new domestic capacity planned (environmental constraints) • Import dependency projected to widen to 7.5-8.5M MT by 2030

SESCO's Competitive Advantages

✓ Favorable Tariff Position

Egyptian/Turkish sources at 10% tariff vs. 25-46% for competitors (Canada, Mexico, Vietnam) = **$12-27/MT cost advantage**

✓ White Cement Specialty

2-3x price premium ($225/MT vs $90/MT gray) • 45-65% gross margins • Only 1 US producer • Florida demand 42-55K MT/year driven by stucco/EIFS building codes

✓ Port Redwing Infrastructure Scale

150,000 MT storage capacity (vs. 30-60K typical) • I-75/I-4 direct access • 1-hour delivery to 3.4M population • 3-hour reach to 12.8M (Orlando, SW Florida)

Tampa Bay Competitive Landscape

Player	Type	Share	Est. Volume	SESCO Strategy
Argos USA	Producer	26%	1.4M MT	Target independents avoiding integrated competitor
Martin Marietta	Importer	25%	1.35M MT	White cement differentiation, non-aggregates customers
CEMEX	Producer+Import	21%	1.1M MT	Mexican tariff disadvantage (25% vs. 10%)
Others	Various	28%	1.5M MT	Service quality, white cement specialty
SESCO (Yr 3)	**Importer**	**3-5%**	**150-200K MT**	**White cement + tariff advantage + Port Redwing**

3-Year Financial Trajectory

Year 1
40K MT | $4.6M Revenue
EBITDA: ($2.1M)
Market Entry Phase

Year 2
104K MT | $11.9M Revenue
EBITDA: ($2.0M)
Growth & Expansion

Year 3
196K MT | $23.8M Revenue
EBITDA: Breakeven
Platform for Profit

Investment Required: $8-10M cumulative through Year 3 (operating losses + working capital) • White cement contributes 43% of Year 3 revenue despite 23% of volume (margin driver) • Years 4+ projected 8-12% EBITDA margins as volume leverages fixed cost base

Go-To-Market Strategy: Customer Priorities

Customer Segment	Product Focus	Volume Potential	Margin	Year 1 Target
Stucco/EIFS Manufacturers	White Cement	2-8K MT/account	**50-65%**	3-5 accounts, 5-10K MT
Independent Ready-Mix	Gray Cement	5-50K MT/producer	20-30%	15-20 accounts, 20-40K MT
Concrete Products Mfrs	Gray + White	2-15K MT/facility	25-35%	Year 2 focus

Top Risks & Mitigation

- **Port Redwing Operations:** Equipment redundancy, experienced team, rigorous commissioning
- **Competitive Price War:** Target independents, white cement focus, value over price positioning
- **Demand Downturn:** Geographic/product diversification, adequate capitalization ($12-15M total)
- **Tariff Changes:** Diversified sourcing, pass-through clauses, competitive even at 20% tariffs

- **Supply Chain Disruption:** Multiple suppliers (Egypt + Turkey), 60-90 day inventory buffers

✓ STRATEGIC RECOMMENDATION: PROCEED

Tampa Bay represents a compelling market entry opportunity with:
Structural supply gap (6.5M MT import requirement) • **Favorable competitive position** (tariff + white cement) • **Port Redwing platform** (infrastructure scale) • **Achievable financial returns** (Year 3 breakeven → Years 4+ profitable)

Immediate Next Steps (90 Days)

Priority	Action	Owner	Timeline
1	Board approval & capital commitment ($12-15M)	Finance/CEO	30 days
2	Port Redwing operational readiness confirmed	Operations	60 days
3	Supplier agreements finalized (Egypt/Turkey)	Procurement	90 days
4	Sales leadership recruited, team building initiated	Sales VP	60-90 days

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TAMPA BAY CEMENT MARKET STUDY - EXECUTIVE SUMMARY
Prepared for SESCO Cement Corporation | January 2026
Strategic Planning Document - Confidential & Proprietary
Full report with detailed analysis, charts, and maps available separately